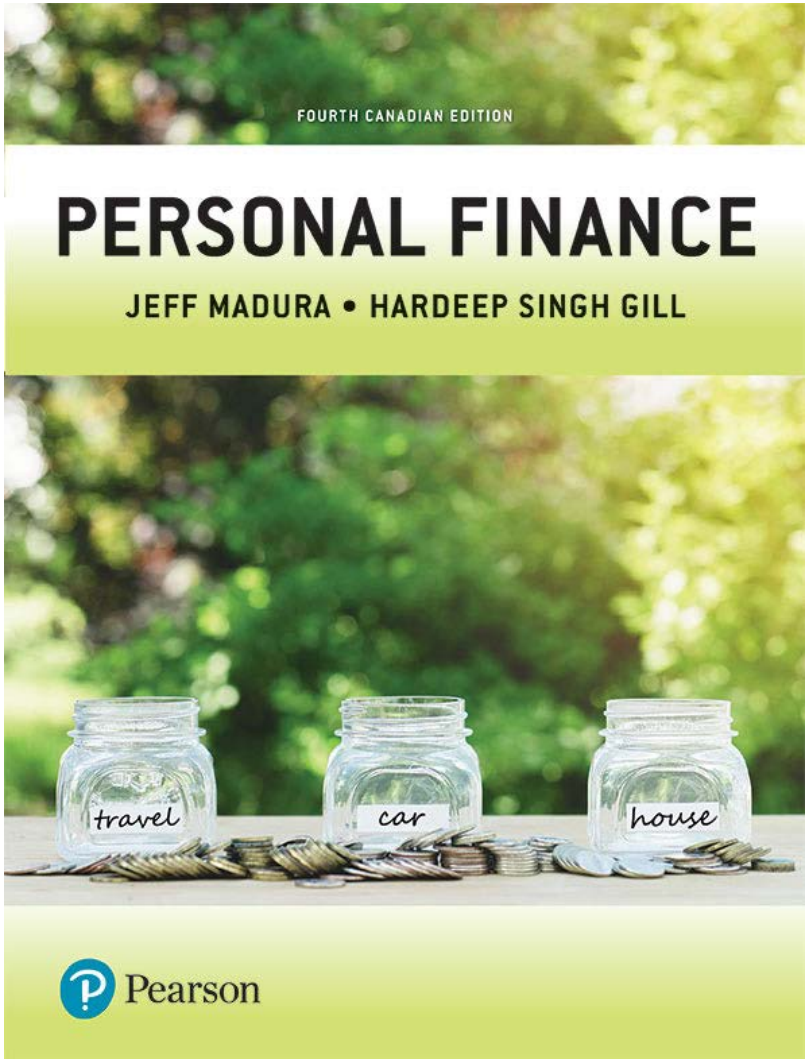
# Personal Finance

## Fourth Canadian Edition




## Chapter 1

Overview of a Financial Plan


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# Definitions (1 of 2)

- Personal Finance: the process of planning your spending, financing, and investing activities, while taking into account uncontrollable events such as death or disability, in order to optimize your financial situation over time.


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# Definitions (2 of 2)

- Personal Financial Plan: a plan that specifies your financial goals, describes the spending, financing, and investing activities that are intended to achieve those goals and the risk management strategies that are required to protect against uncontrollable events such as death or disability.


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# Five Key Components of a Financial Plan

1. Budgeting and tax planning
2. Financing your purchases
3. Protecting your assets and income (insurance)
4. Investing your money
5. Planning your retirement and estate


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# 1. Budgeting and Tax Planning

- Budget planning: The process of forecasting future income, expenses and savings goals
- Evaluate your current financial position
  - Income and expenses
  - Assets: what you own
  - Liabilities: what you owe; your debt
  - Net worth: the value of what you own minus the value of what you owe

Free App:
*iSpending*


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# Typical Financial Planning Life Stages

| Life Stages | Age Group |
| --- | --- |
| • Education | • 0 to 22 |
| • Early Career | • 23 to 30 |
| • Family and Mid Career | • 31 to 49 |
| • Prime Earning | • 50 to 64 |
| • Early Retirement | • 65 to 74 |
| • Late Retirement | • 75+ |


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# Financial Planning Life Stages (1 of 2)

## Exhibit 1.2 Typical Financial Planning Life Stages

| | Life Stages | | | | | |
|---|---|---|---|---|---|---|
| | **Education** | **Early Career** | **Family and Mid-Career** | **Prime Earning** | **Early Retirement** | **Late Retirement** |
| **Age Group** | 0–22 | 23–30 | 31–49 | 50–64 | 65–74 | 75+ |
| **Consider Your Current Financial Position** | ▪ Establish good saving and spending habits<br>▪ Consider saving money inside a TFSA<br>▪ Establish a credit rating | ▪ Follow the pay-yourself-first principle<br>▪ Pay off student loans and other short-term debt<br>▪ Buy furnishings for a home<br>▪ Buy a car<br>▪ Consider a mutual fund, inside or outside an RRSP | ▪ Buy a home and review insurance needs (health, life, disability, critical illness)<br>▪ Start a family<br>▪ Open an RESP account<br>▪ Continue with your RRSPs<br>▪ Reduce/minimize taxes<br>▪ Have a will and power of attorney<br>▪ Investigate employer-based savings options<br>▪ Start a business | ▪ Are all debts paid?<br>▪ Have taxes been minimized?<br>▪ Adequate savings?<br>▪ Children's education fund?<br>▪ Weddings?<br>▪ Job security?<br>▪ Elder care? | ▪ What can you expect from OAS/CPP programs?<br>▪ RRSP/LIRA/work place pension maturity options?<br>▪ Account for all your assets<br>▪ Retirement income distribution patterns<br>▪ What happens if a spouse dies?<br>▪ Changes to your will and power of attorney | ▪ RRSP/LIRA maturity options?<br>▪ Annuitize assets?<br>▪ Reverse mortgage?<br>▪ Wealth management: how, who, where?<br>▪ Estate planning |


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# Financial Planning Life Stages (2 of 2)

## Exhibit 1.2 *Continued*

| | Life Stages | | | | | |
|---|---|---|---|---|---|---|
| | **Education** | **Early Career** | **Family and Mid-Career** | **Prime Earning** | **Early Retirement** | **Late Retirement** |
| **Age Group** | 0–22 | 23–30 | 31–49 | 50–64 | 65–74 | 75+ |
| **Milestones** | ▪ Graduation | ▪ First job<br>▪ New job/Raise | ▪ Marriage<br>▪ First house<br>▪ First baby<br>▪ Divorce | ▪ Empty nest<br>▪ Parental care<br>▪ Close to retirement | ▪ Retirement<br>▪ Empty nest<br>▪ Travel<br>▪ Parental care | |


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# 2. Financing Your Purchases

- Liquidity: your access to ready cash, including savings and credit, to cover short-term or unexpected expenses
- Money management: decisions regarding how much money to retain in liquid form and how to allocate the funds among short-term investment instruments


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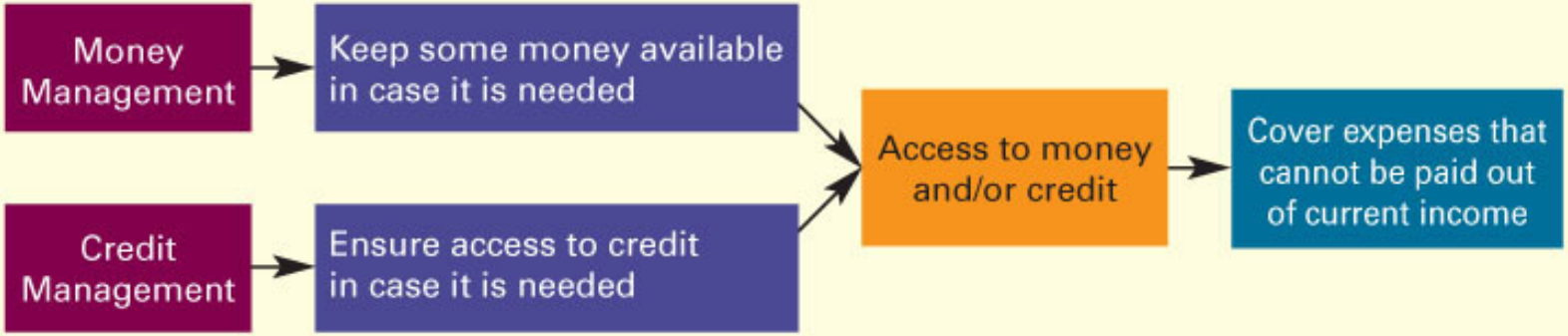
# Managing Your Financial Resources (1 of 4)

- Emergency fund: a portion of savings that you have allocated to short-term needs such as unexpected expenses in order to maintain adequate liquidity
- Credit management: decisions regarding how much credit to obtain to support your spending and which sources of credit to use


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# Managing Your Financial Resources (2 of 4)

**EXHIBIT 1.3** Managing Your Liquidity




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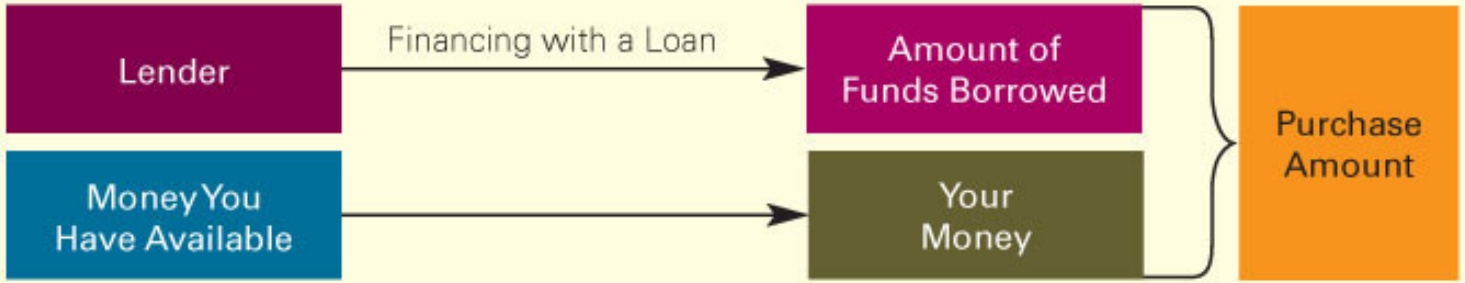
# Managing Your Financial Resources (3 of 4)

- Loans often needed for large expenditures
  - University or college tuition, car, home
- Managing loans
  - How much can you afford to borrow?
  - Determining maturity of the loan
  - Selecting a loan with a competitive interest rate


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# Managing Your Financial Resources (4 of 4)

**EXHIBIT 1.4** Financing Process




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# 3. Protecting Your Assets and Income

- Risk: Exposure to events (or perils) that can cause a financial loss
- Risk management: decisions about whether and how to protect against risk
- Insurance planning: determining the types and amount of insurance needed to protect your assets and/or income


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# 4. Investing Your Money

- Any savings you have beyond what you need to maintain liquidity should be invested to earn a return
  - Stocks, bonds, mutual funds, real estate
- Investment risk: uncertainty surrounding the potential return on an investment and its future potential value
- Risk tolerance: your ability to accept potential losses (of return and/or capital)


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# 5. Planning Your Retirement and Estate

- Retirement planning: determining how much money should be set aside each year for retirement and how those funds should be invested
- Estate planning: determining how your wealth will be distributed before and/or after your death


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# Exhibit 1.6 Example of Decision Made in Each Component of a Financial Plan

| A Plan for: | Types of Decisions |
|---|---|
| 1. Managing your income | What expenses should you anticipate? |
| | How much money should you attempt to save each month? |
| | How much money must you save each month toward a specific purchase? |
| | What debt payments must you make each month? |
| 2. Managing your financial resources | How much money should you maintain in your bank account? |
| | Should you use credit cards as a means of borrowing money? |
| | How much money can you borrow to purchase a car? |
| | Should you borrow money to purchase a car or should you lease a car? |
| | How much money can you borrow to purchase a home? |
| | What type of mortgage loan should you obtain to finance the purchase of a house? |
| 3. Protecting your assets and income | What type of insurance do you need? |
| | How much insurance do you need? |
| 4. Investing | How much money should you allocate toward investments? |
| | What types of investments should you consider? |
| | How much risk can you tolerate when investing your money? |
| 5. Planning your retirement and estate | How much money will you need for retirement? |
| | How much money must you save each year so that you can retire in a specific year? |
| | How will you allocate your estate among your heirs? |


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# Developing Your Financial Plan

1. Establish your financial goals
2. Consider your current financial position
3. Identify and evaluate alternative plans
4. Select and implement the best plan
5. Evaluate your financial plan
6. Revise your financial plan


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# Establish Your Financial Goals (1 of 2)

- Specify your goals
  - Ensure they are SMART (i.e. specific, measurable, actionable, realistic, and timely)
- Measure your goals
- Act on your goals
- Set realistic goals
- Timing of goals (short term- within next year, medium term- between one and five years, long term- beyond five years)

Free App:
*goalGetter*


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